

Aggressive professional traders will have a field day during the bear market, as volatility is the trader's best friend. There will be more volatility in coming years in stocks, bonds, currencies and commodities than ever before in history. Dramatic markets such as currently anticipated present rare profit making opportunities for those who are capable of seizing the day. A speculator selling stock and bond futures short at rally peaks could make a fortune. As long as the Wave Principle continues to reveal the positions of each of these markets, the turning points should not be difficult to recognize as the patterns unfold. Skillful market timing, then, will be one road to riches. Unfortunately, there is not one person in a thousand who can perform it properly. Even for those who can, there will be unforeseen pitfalls.

For example, while short sales today appear to be a relatively safe speculation, the projected depth of the bear market is such that it may be a viable approach for only so long. There is an excellent chance that at some point the markets will be shut down. What are the odds that the New York Stock Exchange will close? Perhaps not very high, but neither is such an event impossible. A lot of people recall that on October 20, 1987, the bottom day of the crash, there were rumors, and evidence to back them, that the Federal Reserve was financing purchases of stock index futures and stocks to prop up the market. If that is true, today the Fed must look back on that experience as a dramatic success, as the market reversed and has not seen that level since. Its members will be confident of succeeding again if they attempt to stop the upcoming bear market. Unfortunately, this one will be three degrees larger than that of 1987, and any success will be only temporary. An attempt to forestall the inevitable will ultimately prove to be a very expensive proposition, as were the government's repeated sales of gold in the 1970s, made in an attempt to halt the metal's runaway bull market. Such plans always fail in the end for lack of funds. Thus, if any authority, no matter how wealthy, tries to buy back the bull market, at some point it will realize that the tactic isn't working. When people who run a game realize that they are lined up for losses, they do what comes naturally, which is to protect themselves. In this case, they might choose to close the exchange. They might close it only to sell orders, just as the COMEX closed its exchange to buy orders in 1980 when the Hunt Brothers were helping push silver up to \$50 an ounce. In January of that year, the exchange members, who were rumored to be heavily short, suddenly limited investors to buying and selling *only to liquidate existing positions*, which meant